

Yes, I hear that [Platt names a well-known CTA with a long track record] original system is now insanely volatile and unprofitable.

On a recent plane trip, I read the *Complete Turtle Trader* by Michael Covel, a book about the group of traders originally trained by Richard Dennis and Bill Eckhardt using a variation of a simple breakout system originally developed by Richard Donchian. In the book, Covel details the actual rules of the once secret system. Now, I am pretty familiar with breakout systems, and I knew from computer testing that they don't work all that well. They make moderate returns with lots of volatility. I, therefore, was quite curious to see what modifications the turtle system made to transform what I knew to be a mediocre system into an effective one. So, as I read the book, I jotted down any rules that were modifications of a basic breakout system. When I reviewed these modifications after finishing the book, none of them seemed to be all that significant, and I couldn't understand how they could make such a big difference. At the end of the book, Covel provided an appendix containing the annual returns for many of the turtle traders going back to the 1980s. At first glance, the returns looked impressive—and for the period as a whole, indeed they generally were. But then I looked at just the last eight years and noticed that, in many cases, returns had fallen to near T-bill returns on average, but with substantial volatility.³ I suspect the original turtle system had degraded substantially over the years and only those traders that had evolved maintained good performance. I believe markets have a tendency to develop trends for fundamental reasons, a phenomenon that provides some edge to trend-following. At one time, this market characteristic and a simple trend-following system were sufficient to generate good results. But as trend-following became more popular, the return/risk performance of the basic systems deteriorated.

We went off on a bit of a tangent. I asked you about how you got interested in the markets, and you told me about your interest in puzzles. But we never talked about how you actually first became involved in markets.